SOX FIELD GUIDE

Deficiency, significant deficiency, or material weakness?

A practical way to evaluate a control exception, based on PCAOB AS 2201.

THE THREE LEVELS

Control deficiency

A control’s design or operation doesn’t let people prevent or detect misstatements on a timely basis.

Significant deficiency

Less severe than a material weakness, yet important enough to merit the attention of those overseeing financial reporting.

Material weakness

A reasonable possibility that a material misstatement won’t be prevented or detected on a timely basis.

THE TWO QUESTIONS

Severity = likelihood × magnitude

- **Likelihood:** is there a reasonable possibility the control fails to prevent or detect a misstatement?
- **Magnitude:** how big could that misstatement be? Use the account balance and the volume of transactions exposed, not just the error found.
- Severity depends on what *could* happen, not only on whether a misstatement actually occurred.

BEFORE YOU CONCLUDE

Four checks that change the answer

1. **Compensating controls:** do they operate at enough precision to catch the same misstatement?
2. **Aggregation:** do several deficiencies hit the same account or assertion?
3. **Root cause:** one-off error or design gap?
4. **Prudent official test:** would a prudent official agree with the conclusion?

RED FLAGS

Indicators of a material weakness (AS 2201.69)

- Fraud of any size by senior management
- Restatement to correct a material misstatement
- Auditor finds a material misstatement the company’s controls missed
- Ineffective Audit Committee oversight of financial reporting and ICFR

TAKEAWAY

Classify by what could go wrong, then document why

The rationale is what auditors and Audit Committees read. Make it specific: account, assertion, magnitude, compensating control, conclusion.

What factor do you see teams miss most often?